

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

WCG GROUP, LLC DBA AITOH CO., *Claimant*

v.

CHRIS PHILLIPS AND PAUL KNOTT, *Respondents*.

DOCKET NO. 1999(F)

Served: February 29, 2024

ORDER OF: Linda S. Harris Crovella, *Administrative Law Judge*.

ORDER ON REQUEST TO REPLY TO CLAIMANT’S OPPOSITION TO MOTION TO DISMISS

Claimant Aitoh initiated this proceeding on November 28, 2023, by filing an informal complaint against two individual Respondents: Phillips and Knott. On December 26, 2023, Respondent Paul Knott, filed an answer to the informal complaint denying the allegations of the complaint and alleging various affirmative defenses, as well as a separate affidavit of non-consent to the informal adjudication of the claims in accordance with Subpart S, 46 C.F.R. § 502.301. On February 7, 2024, the claim was reassigned to the undersigned Administrative Law Judge for adjudication under the procedures at 46 C.F.R. Subpart T. 46 C.F.R. § 502.311.

Also on December 26, 2023, Respondent Knott filed a motion to dismiss the complaint and a memorandum in support of the motion to dismiss (“MTD”).

On February 21, 2024, an Order on Request to Extend Time to Respond to Motion to Dismiss (“Order on EOT”) issued, granting Claimant Aitoh’s request for additional time in which to respond to the MTD, allowing the Claimant to file an amended complaint adding the corporations for which the two natural persons identified as respondents work, and if Claimant chose not to file an amended complaint, directing Claimant to address the arguments raised in the MTD. In addition, Claimant was ordered to “address whether it intends to submit evidence that it can pierce the corporate veil as to Respondent Knott and should submit that evidence. Similar evidence should be submitted regarding Respondent Phillips, as well.” Order on EOT at 2.

On February 21, 2024, Claimant filed a Memorandum in Opposition to Motion to Dismiss (“Opposition”). The Opposition did not provide evidence to support piercing the corporate veil as to the two natural persons currently named as respondents, and it did not address the arguments raised by Respondent Knott in the MTD. Further, Claimant did not indicate that it intended to file an amended complaint adding the corporations for whom Respondent Knott and Respondent Phillips work.

On February 23, 2024, Respondent Knott emailed a request to file a reply to Aitoh's Opposition. This request is accepted as a motion for leave to file a reply, but the parties are reminded that any request for action by the Commission or presiding officer must be made by motion, not by letter or email request or as part of a joint status report. Such requests for action may be attached to and filed with the Federal Maritime Commission ("Commission") by email.

Subpart T proceedings do not provide for motion practice. *See*, 46 C.F.R. § 502.321. Respondent Knott filed the MTD prior to the claim converting to a formal small claims proceeding, and that motion was accepted. The request to submit a reply to Claimant's opposition references Rule 314 which states: "The administrative law judge may require the submission of additional affidavits, documents, or memoranda from complainant or respondent." 46 C.F.R. § 502.314. I find that a reply is not necessary to decide the motion, and is not required under Subpart T. Accordingly, Respondent Knott's motion to file a reply to Aitoh's opposition is **DENIED**.

The parties are again reminded not to send *ex parte* communications to the undersigned, and instead, must copy all of the parties when submitting emails to Judges@fmc.gov. Individuals and corporations that are not party to this proceeding or a representative of a named party should not be copied on or submitting emails to the undersigned or Judges@fmc.gov without my express request.

No further submissions are requested at this time, and none will be accepted unless requested.



Linda S. Harris Crovella
Administrative Law Judge